

those needs and obligations. Next, if desired, more risk can be taken to attain one's priorities and expectations, and, even more risk to meet one's desires and aspirations. At the end of the process, advisors usually end up with a normal-looking, diversified portfolio, though it will likely differ from a portfolio based on traditional mean-variance framework. However, the components of the portfolio are individually justified based on needs and obligations versus priorities, and expectations versus desires and aspirations.

Financial advisers using this approach will typically first estimate how much should be invested in low-risk (capital preservation) assets to meet those needs and obligations. Next, riskier assets are considered to attain priorities and desires. Finally, even riskier assets are added to meet one's aspirational goals. Typically, investors will end up having a diversified portfolio using this approach, but the resulting portfolio may not be efficient from a traditional finance perspective. The lack of efficiency stems from the components of the portfolio being individually justified rather than based on modern portfolio theory that considers correlations between investments. However, investors may be better able to understand risk by using this methodology. As a result, investors may find it easier to adhere to investment decisions and portfolio allocations made.

NOTES

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4. Drazen Prelec and Duncan Simester, "Always Leave Home without It: A Further Investigation of the Credit Card Effect on Willingness to Pay," *Marketing Letters* 12, no. 1: 5–12.
5. Tversky and Kahneman, "Rational Choice" (see 3).
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9. Jean L. P. Brunel, "Revisiting the Asset Allocation Challenge through a Behavioral Finance Lens," *Journal of Wealth Management* (Fall 2003): 10–20.